LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Short-Term Business Loans ?

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Module 1: Theoretical Foundations and Product Philosophy of Short-Term Business Loans (STBL)

1.1 Product Overview & Core Philosophy

Short-Term Business Loans (STBLs) represent a crucial funding mechanism in the Indian commercial credit ecosystem, designed to address immediate, self-liquidating, and transaction-specific working capital mismatches. Unlike long-term asset acquisition loans that rely on future capital expansion to generate cash flows, STBLs are built on the velocity of current assets.

In India, where MSMEs face chronic payment delays, STBLs act as an essential liquidity bridge. The core philosophy of this product is "velocity over collateral." Standard cash credit limits or bank overdrafts remain permanently drawn, which locks up valuable banking limits. STBLs, however, are transaction-specific, fund-based credit facilities with a hard repayment timeline. This provides commercial credit underwriters with complete visibility into the cash conversion cycle of the borrowing entity.

1.2 Shifting Underwriting Paradigms

Traditionally, commercial bank lending in India required physical fixed asset margins—typically the mortgage of industrial properties or commercial real estate. However, the rise of digital public infrastructure, such as the Goods and Services Tax Network (GSTN) and the Account Aggregator (AA) network, has enabled a paradigm shift toward cash flow-based lending.

Underwriters now assess the borrower's transactional health using real-time tax filings and bank account velocities. Rather than asking "What physical collateral can we liquidate if the borrower defaults?", the modern underwriting paradigm asks: 1. **Cash Flow Predictability:** How reliable is the borrower's operating cash inflow over the next 90 to 360 days? 2. **Transaction Integrity:** Are the funds being disbursed directly for raw material procurement or invoice settlement, rather than being diverted for capital assets or promoter payouts? 3. **Payer Credit Quality:** Who is the ultimate corporate buyer paying the borrower, and what is their historical repayment performance?

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Module 2: Structural Comparative Taxonomy (The Credit Matrix)

To understand where Short-Term Business Loans fit within commercial trade finance, we must compare them to other standard working capital instruments.

Credit Dimension	Short-Term Business Loan (STBL)	Cash Credit (CC) Facility	Working Capital Demand Loan (WCDL)	Overdraft (OD) Facility	Receivables Factoring
Primary Intent	Transaction-specific working capital & cash bridge	Continuous funding of current assets & inventory	Structured, fixed-tenure working capital drawdown	Daily operational cash mismatches	Immediate monetization of unpaid invoices
Repayment Structure	Scheduled monthly installments or bullet repayment	Revolving limit based on monthly Drawing Power (DP)	Scheduled bullet repayments at maturity	Revolving limit with daily fluctuations	Direct buyer settlement to the factor's escrow
Interest Basis	Fixed or variable, calculated on reducing balance	Variable, tied to EBLR/MCLR, charged on daily debit	Fixed/Variable, on drawn tranche balance	Tied to bank EBLR/MCLR, charged on daily overdraft	Advance discount rate + administrative fees
Typical Tenure	3 to 12 months (maximum 18 months)	Annual renewal with monthly monitoring	30 to 180 days per tranche	12 months (revolving subject to annual review)	30 to 120 days based on invoice usance
Security / Collateral	Unsecured, clean, or backed by CGTMSE/receivables	Primary charge on inventory & book debts + collateral	Primary charge on current assets + corporate guarantee	Lien-marked Fixed Deposits or commercial property	Absolute assignment of trade receivables
CERSAI & ROC Filing	Mandatory only if charge created on current assets	Mandatory registration of primary charge within 30 days	Mandatory registration as sub-limit charge	Required if secured by physical assets/FD	Mandatory 10-day CERSAI registration (Factors Act)
Balance Sheet Status	Fund-based current liability	Fund-based current liability	Fund-based current liability	Fund-based current liability	Off-balance sheet (non-recourse) or current liability

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Module 3: The End-to-End Operational Lifecycle of Short-Term Business Loans

The operational flow of a Short-Term Business Loan is highly systematic, designed to balance speed of delivery with strict risk mitigation.

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[Phase 1: Limit Sizing] -> [Phase 2: Underwriting] -> [Phase 3: Sanction & Documentation] -> [Phase 4: Disbursement Tranches] -> [Phase 5: Monitoring & Repayment]
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Phase 1: Limit Sizing & Eligibility Check

The borrower initiates the request by submitting digital GST returns (GSTR-1 and GSTR-3B) and bank statements through the Account Aggregator framework. The bank's scoring engine calculates the borrower's annual operating revenue and establishes eligibility.

Phase 2: Credit Underwriting and Scorecarding

Underwriters analyze the borrower's transaction velocity, credit bureau reports, and operational margins. Cash-budgeting methodologies or the Projected Turnover Method (Nayak Committee) are applied to determine the maximum credit limit.

Phase 3: Sanction and Security Charge Creation

The bank issues a formal Sanction Letter detailing the terms, pricing, and repayment structure. The borrower executes the loan agreement, demand promissory note, and personal guarantee forms. If the loan is secured by current assets, the bank registers a security charge with the Registrar of Companies (ROC) and CERSAI within the 30-day statutory window.

Phase 4: Structured Disbursement

Disbursement is executed through a dedicated current account. For vendor payment structures, the bank pays the supplier directly via RTGS/NEFT based on verified purchase orders or proforma invoices. This prevents the diversion of capital.

Phase 5: Monitoring, Escrow Control, and Bullet Amortization

The bank monitors account balances and transaction velocities using automated cash-flow tools. Repayments are swept directly from the borrower's collections escrow account or recovered via monthly Nach mandates. Upon full repayment, the limit is updated, or the loan account is closed, and the security charge is satisfied.

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Module 4: Underwriting Framework and Key Credit Risk Metrics

Lenders evaluate Short-Term Business Loans using a combination of traditional accounting standards and modern digital data trails.

4.1 Credit Assessment Methodologies

Depending on the size and profile of the borrower, underwriters apply one of three primary methodologies:

1. **The Tandon Committee's Second Method of Lending:** This methodology is used for larger corporate and SME structures with credit limits exceeding ₹2 Crores. It mandates that the borrower must contribute at least **25% of their total current assets** from long-term funds (such as equity or subordinated debt). This maintains a minimum **Current Ratio of 1.33:1**.

$$Maximum\ Permissible\ Bank\ Finance\ (MPBF) = 0.75 \times Total\ Current\ Assets - Other\ Current\ Liabi$$

2. **The Projected Turnover Method (PTM / Nayak Committee):** Designed for MSMEs with aggregate working capital limits up to ₹5 Crores. Under this method, the borrower's total working capital requirement is estimated at **25% of their projected annual turnover**. The bank funds **20% of the turnover** as credit, while the borrower contributes **5%** as margin.

$$Sanctioned\ Limit\ (Bank) = 0.20 \times Projected\ Annual\ Turnover$$

$$Promoter\ Margin\ (Own\ Funds) = 0.05 \times Projected\ Annual\ Turnover$$

3. **The Cash Budget Method (CBM):** Highly suitable for seasonal businesses, contracting companies, and rapid-growth start-ups. Underwriters map monthly cash inflows against projected outflows. The peak deficit across the 12-month projection determines the sanctioned loan limit.

4.2 Scorecard Metrics & Risk Thresholds

Underwriters require strict credit scoring thresholds to mitigate risk: * **Promoter Personal CIBIL Score:** Must be **greater than 700**. This reflects the promoter's personal financial discipline. * **CIBIL MSME Rank (CMR):** Must fall within **CMR 1 to CMR 4** on a scale of 10. CMR 1 represents the lowest probability of default, while CMR 10 represents the highest. * **Interest Coverage Ratio (ICR):** Must be **greater than 1.25x**.

$$ICR = \frac{Earnings\ Before\ Interest\ \&\ Tax\ (EBIT)}{Total\ Interest\ Outlay}$$

* **GSTR-3B Validation:** Automated comparison of reported sales against actual bank account deposits over a rolling 12-month period. Any variance greater than **10%** triggers an manual audit flag.

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Module 5: Legal Security Architecture, Charge Creation, and CERSAI Guidelines

A robust legal framework is essential to secure Short-Term Business Loans and provide clear recourse in the event of default.

5.1 Legal Assignments and Recourse

- **Assignment of Actionable Claims:** Under **Section 130 of the Transfer of Property Act, 1882**, the borrower can execute an absolute assignment of their current trade receivables in favor of the lender. This gives the bank the legal right to collect dues directly from the buyer.
- **Hypothecation of Current Assets:** The borrower signs a Deed of Hypothecation, creating a floating charge on all moving raw materials, work-in-progress (WIP), finished goods, and outstanding book debts. Unlike a pledge, hypothecation allows the borrower to retain physical possession of the goods to continue daily business operations.
- **The "On Demand" Callable Clause:** WCDLs and short-term demand loans contain an explicit clause stating that the bank reserves the absolute right to call for immediate repayment of the outstanding balance. This can be triggered by credit rating downgrades, cross-defaults, or material adverse changes.

5.2 Mandatory Registrations and Timelines

To protect the lender's priority over secondary creditors, the following registrations are mandatory: 1. **Registrar of Companies (ROC) Charge Filing:** Under **Section 77 of the Companies Act, 2013**, corporate borrowers must register any charge created on their assets with the ROC using **Form CHG-1** within **30 days** of creation. Failure to register renders the security charge void against a liquidator in insolvency. 2. **CERSAI Registration:** The Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002 mandates that all security interests created on current assets, book debts, or receivables must be registered with the **Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI)** within **30 days**. Under the **Factoring Regulation (Amendment) Act, 2021**, factoring tranches and receivable purchases must be registered within **10 days** to ensure priority of claim.

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Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

6.1 Market Penetration & Digital Ecosystems

Short-Term Business Loans are highly integrated with India's digital supply chain and commercial banking portals. According to the SIDBI-CRIF MSME Pulse reports, **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment. This high concentration is driven by the rapid inventory cycles and high volume of cash purchases in these trades.

To capture this market, banks have established large-scale digital programs, such as State Bank of India's **e-DFS (Electronic Dealer Financing Scheme)** and **e-VFS (Electronic Vendor Financing Scheme)**. These programs streamline credit delivery, with active exposures reaching **₹49,261 Crores for e-DFS** and **₹28,092 Crores for e-VFS**.

6.2 Target Industry Verticals

STBL structures are highly effective for the following sectors:

- **Textiles and Apparel (Surat, Ludhiana Hubs):** Exporters require short-term pre-shipment credit to purchase cotton yarns and fabric before processing.
- **Civil and Infrastructure Contractors:** PWD, NHAI, and CPWD contractors require immediate mobilization funding to bridge cash flow gaps between milestone bills.
- **Automotive and Engineering Components:** Component manufacturers supplying major OEMs use STBLs to manage 90-day payment cycles.
- **Consumer Electronics and Durables:** Retailers use short-term demand loans to stock inventory ahead of major festive seasons (Dussehra, Diwali).

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Module 7: Commercial Pricing Mechanics, Interest Computations, and Tax Shields

7.1 Interest and Fee Pricing Framework

The commercial pricing of a Short-Term Business Loan is determined by the borrower's risk profile, credit rating, and the lender's cost of funds.

1. **Benchmark Reference Rates:**
   - **External Benchmark Linked Rate (EBLR):** For MSME borrowers, loans are linked to an external benchmark, such as the RBI Repo Rate or Treasury Bill yields, plus a credit spread.
   - **Marginal Cost of Funds Based Lending Rate (MCLR):** For larger corporate borrowers, loans are typically linked to the bank's internal 3-month or 6-month MCLR.
2. **Processing Fees and GST Rules:** Lenders charge an upfront processing fee (typically **0.25% to 1.50%** of the sanctioned loan value). In accordance with Central Board of Indirect Taxes and Customs (CBIC) rules, **processing and administrative fees attract 18% GST**. However, interest charges on the loan remain completely **exempt from GST**.
3. **The Corporate Interest Tax Shield:** Interest paid on business loans is classified as an admissible business expense. Under **Section 36(1)(iii) of the Income Tax Act, 1961**, the borrowing entity can deduct interest expenses from their taxable profits, creating a valuable tax shield that reduces the effective cost of financing.

7.2 Mathematical Models

1. **Daily Reducing Balance Interest Formula:**

$$I = \sum_{t=1}^{N} \left(\frac{P_t \times R}{365} \right)$$

Where:
   - I = Total interest outlay over the tenure.
   - P_t = Principal outstanding on Day t.
   - R = Nominal annualized interest rate.
   - N = Total tenure in days.
2. **Effective After-Tax Cost of Financing:**

$$R_{post-tax} = R_{nominal} \times (1 - T)$$

Where:
   - $R_{post-tax}$ = Effective after-tax cost of financing.
   - $R_{nominal}$ = Nominal annualized interest rate.
   - T = Corporate tax rate (including surcharge and cess, e.g., **25.17%**).

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Module 8: Regulatory Compliance, RBI IRACP Guidelines, and Technical Defaults

To prevent systemic asset quality issues, the Reserve Bank of India mandates strict compliance guidelines for banks and NBFCs.

8.1 RBI IRACP Guidelines and Delinquency Stages

Under the **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines, 2025**, lenders must monitor accounts on a daily run basis. Any delay in interest or principal payment triggers a structured delinquency classification:

- **Special Mention Account 0 (SMA-0):** Principal or interest payment is overdue for **1 to 30 days**.
- **Special Mention Account 1 (SMA-1):** Principal or interest payment is overdue for **31 to 60 days**.
- **Special Mention Account 2 (SMA-2):** Principal or interest payment is overdue for **61 to 90 days**.
- **Non-Performing Asset (NPA):** Outstanding dues remain unpaid for **more than 90 days**.

Technical Review Defaults (The 180-Day Rule)

For working capital demand loans and cash credit facilities, banks must perform a formal credit review and renewal of the limit every 12 months. If a borrower fails to submit their financial statements for renewal within **180 days** from the due date, the account is classified as a **Technical Default** and downgraded to **NPA status**, regardless of whether the account is currently up-to-date on interest payments.

8.2 RBI Digital Lending Guidelines

For short-term business loans sourced or managed through digital lending platforms or FinTech partners, lenders must comply with the RBI's **Digital Lending Guidelines**: 1. **Direct Funds Flow:** All loan disbursements and repayments must flow directly between the bank account of the regulated entity (Bank/NBFC) and the borrower, without passing through any third-party pool accounts or FinTech platforms. 2. **First Loss Default Guarantee (FLDG) Cap:** To protect against systemic credit risk, the RBI caps Default Loss Guarantee (DLG) arrangements. Regulated entities can accept credit risk guarantees from FinTech partners up to a maximum of **5.0% of the total loan portfolio value** sourced through that partner.

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Module 9: Comprehensive Real-World Case Study (Mumbai Retail & Logistics Pvt. Ltd.)

9.1 Background and Credit Appraisal

Mumbai Retail & Logistics Pvt. Ltd. (MRLPL) is a medium-scale distributor of consumer electronics operating in western India. To stock inventory ahead of the festive season, MRLPL requires a short-term liquidity injection of **₹50,00,000 (₹50 Lakhs)** for a tenure of **120 days**.

The underwriting team performs a credit appraisal with the following results: * **Promoter Personal CIBIL Score:** 745 (Approved) * **CIBIL MSME Rank (CMR):** CMR 2 (Low Risk - Approved) * **Interest Coverage Ratio:** 3.15x (Approved) * **Corporate Tax Rate: 25.17%** (including surcharge and cess)

9.2 Commercial Comparison: Unsecured Short-Term Loan vs. Cash Credit Carve-out

The CFO compares two financing structures to secure the ₹50 Lakhs:

- **Pathway A: Unsecured 120-Day Short-Term Business Loan**
  - Nominal Interest Rate: **11.50% p.a.** on daily reducing balance.
  - Upfront Bank Processing Fee: **0.50%** of the loan value.
  - Collateral Requirement: None (unsecured).
- **Pathway B: Structured Cash Credit (CC) Drawing Power Drawdown**
  - Nominal Interest Rate: **13.00% p.a.** on daily debit balance.
  - Upfront Bank Processing Fee: **0.25%** of the loan value.
  - Collateral Requirement: Primary charge on inventory and receivables + personal guarantee.

Let us compile the pre-tax and post-tax cash flows and opportunity costs over the 120-day tenure:

Cash Flow Calculations for Pathway A (Short-Term Business Loan @ 11.50%)

1. **Sanctioned Loan Amount:** ₹50,00,000
2. **Nominal Interest Cost (120 Days):**

$$Interest = \frac{₹50,00,000 \times 11.50\% \times 120}{365} = ₹1,89,041.10$$

3. **Upfront Processing Fee (0.50%):**

$$Processing\ Fee = ₹50,00,000 \times 0.50\% = ₹25,000.00$$

4. **GST on Processing Fee (18%):**

$$GST = ₹25,000.00 \times 18\% = ₹4,500.00 \quad (Recoverable\ via\ Input\ Tax\ Credit)$$

5. **Gross Pre-Tax Cost (Excluding GST):**

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$$Gross\ Pre\ -\ Tax\ Cost\ =\ ₹1,89,041.10\ +\ ₹25,000.00\ =\ ₹214,041.10$$

6. **Corporate Income Tax Shield (25.17% on Interest & Fees):**
$$Tax\ Shield\ =\ ₹214,041.10\ \times\ 25.17\%\ =\ ₹53,874.14$$

7. **Net Post-Tax Financing Cost:**
$$Net\ Post\ -\ Tax\ Cost\ =\ ₹214,041.10\ -\ ₹53,874.14\ =\ ₹160,166.96$$

Cash Flow Calculations for Pathway B (Cash Credit Drawdown @ 13.00%)

1. **Sanctioned Limit:** ₹50,00,000
2. **Nominal Interest Cost (120 Days):**
$$Interest\ =\ \frac{₹50,00,000\times13.00\%\times120}{365}\ =\ ₹213,698.63$$

3. **Upfront Processing Fee (0.25%):**
$$Processing\ Fee\ =\ ₹50,00,000\ \times\ 0.25\%\ =\ ₹12,500.00$$

4. **GST on Processing Fee (18%):**
$$GST\ =\ ₹12,500.00\ \times\ 18\%\ =\ ₹2,250.00\quad (Recoverable\ via\ Input\ Tax\ Credit)$$

5. **Gross Pre-Tax Cost (Excluding GST):**
$$Gross\ Pre\ -\ Tax\ Cost\ =\ ₹213,698.63\ +\ ₹12,500.00\ =\ ₹226,198.63$$

6. **Corporate Income Tax Shield (25.17% on Interest & Fees):**
$$Tax\ Shield\ =\ ₹226,198.63\ \times\ 25.17\%\ =\ ₹56,934.20$$

7. **Net Post-Tax Financing Cost:**
$$Net\ Post\ -\ Tax\ Cost\ =\ ₹226,198.63\ -\ ₹56,934.20\ =\ ₹169,264.43$$

Cost Comparison Matrix (MRLPL Case Study)

Financial Metrics	Pathway A (Short-Term Loan)	Pathway B (Cash Credit)	Net Variance (Savings)
Sanctioned Amount	₹50,00,000.00	₹50,00,000.00	Nil
Nominal Interest Rate	11.50% p.a.	13.00% p.a.	+1.50% p.a. (Pathway A saves)
Gross Interest Cost	₹1,89,041.10	₹2,13,698.63	+₹24,657.53 (Pathway A saves)
Upfront Processing Fee	₹25,000.00	₹12,500.00	-₹12,500.00 (Pathway B saves)
GST on Processing Fee (18%)	₹4,500.00 (recoverable)	₹2,250.00 (recoverable)	-₹2,250.00 (Pathway B saves)
Total Pre-Tax Cost	**₹2,14,041.10**	**₹2,26,198.63**	**+₹12,157.53 (Pathway A saves)**
Income Tax Shield (25.17%)	₹53,874.14	₹56,934.20	-₹3,060.06
Net Post-Tax Financing Cost	**₹160,166.96**	**₹169,264.43**	**+₹9,097.47 (Pathway A saves)**
Collateral Required	None (Clean / Personal Guarantee)	Primary charge on assets	High operational relief

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By selecting the unsecured Short-Term Business Loan (Pathway A), the CFO of MRLPL reduces the company's net interest expense and secures **₹9,097.47 in net post-tax savings** on a single transaction. Additionally, this avoids locking up physical inventory or book debts, allowing those assets to remain clear for other strategic credit lines.

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Module 10: 10-Question Professional Certification Examination

This examination is designed to test a commercial credit trainee's operational and legal mastery of Short-Term Business Loans in India.

Question 1

Under the Factoring Regulation (Amendment) Act, 2021, what is the maximum statutory timeline for registering a trade receivable assignment with the CERSAI registry? A) 30 Days B) 15 Days C) 10 Days D) 45 Days

Question 2

Under the Tandon Committee's Second Method of Lending, what is the minimum required Current Ratio that corporate borrowers must maintain? A) 1.00:1 B) 1.15:1 C) 1.25:1 D) 1.33:1

Question 3

An MSME distributor has a projected annual turnover of ₹3,00,00,000 (₹3 Crores). Under the Projected Turnover Method (PTM / Nayak Committee), what is the maximum working capital limit the bank can sanction? A) ₹75,00,000 B) ₹60,00,000 C) ₹15,00,000 D) ₹45,00,000

Question 4

Under Section 77 of the Companies Act, 2013, what is the maximum statutory window allowed to register a charge on current assets with the Registrar of Companies (ROC) using Form CHG-1? A) 10 Days B) 30 Days C) 45 Days D) 60 Days

Question 5

If a corporate borrower is current on interest payments but has not submitted financial statements for credit review and limit renewal within 180 days of the due date, what is the regulatory outcome under the RBI IRACP guidelines? A) Downgrade to SMA-1 B) Penalty fee of 2.0% p.a. C) Immediate downgrade to Non-Performing Asset (NPA) status due to technical review default D) Auto-extension of the credit limit for 90 days

Question 6

Under the RBI's Digital Lending Guidelines, what is the maximum percentage cap on Default Loss Guarantee (DLG) arrangements that a regulated bank/NBFC can accept from a FinTech partner? A) 2.0% of the loan portfolio B) 5.0% of the loan portfolio C) 10.0% of the loan portfolio D) 15.0% of the loan portfolio

Question 7

Under Section 36(1)(iii) of the Income Tax Act, 1961, how are interest expenses incurred on short-term business loans treated for corporate tax purposes? A) Deductible up to

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₹2,00,000 per annum B) Completely disallowed as a capital expense C) Fully deductible from taxable income as an admissible business expense D) Subject to a 10% surtax

Question 8

According to SIDBI-CRIF MSME commercial lending data, which segment of borrowers accounts for the largest proportion of total working capital credit, representing 44% of total active borrowers? A) Manufacturing and Auto Components B) Civil and Infrastructure EPC Contractors C) Retail and Wholesale Traders D) IT Services and Digital SaaS start-ups

Question 9

If a short-term business loan account becomes overdue, on which day does it transition from the Special Mention Account 1 (SMA-1) classification to the Special Mention Account 2 (SMA-2) classification under RBI guidelines? A) Day 31 B) Day 61 C) Day 91 D) Day 180

Question 10

Under Section 130 of the Transfer of Property Act, 1882, which legal document must be executed to give the lender priority rights over a borrower's trade receivables? A) Deed of Hypothecation B) Irrevocable Power of Attorney C) Absolute Assignment of Actionable Claims D) Joint Escrow Tripartite Agreement

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Answer Key and Detailed Rationales

Question 1: Correct Answer: C (10 Days)

Rationale: The Factoring Regulation (Amendment) Act, 2021 amended the registration window to a mandatory 10 days for registering factoring transactions and receivable purchases on behalf of factors with CERSAI, ensuring rapid record update and preventing double-financing.

Question 2: Correct Answer: D (13.3:1)

Rationale: The Tandon Committee's Second Method of Lending mandates that the borrower must contribute at least 25% of their current assets from long-term funds, leading to a minimum Current Ratio requirement of 1.33:1.

Question 3: Correct Answer: B (₹60,00,000)

Rationale: Under the Projected Turnover Method, the bank finances 20% of the projected annual turnover. 20% of ₹3,00,00,000 is ₹60,00,000. The remaining 5% (₹15,00,000) must be contributed by the promoter as margin.

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Question 4: Correct Answer: B (30 Days)

Rationale: Section 77 of the Companies Act, 2013 mandates that any charge created on a company's assets (including current assets) must be registered with the Registrar of Companies using Form CHG-1 within 30 days of creation.

Question 5: Correct Answer: C (Immediate downgrade to Non-Performing Asset (NPA) status due to technical review default)

Rationale: Under RBI's IRACP guidelines, credit limits must be formally reviewed and renewed at least once a year. If an account is not renewed within 180 days from the due date, it is classified as a technical review default and downgraded directly to NPA status.

Question 6: Correct Answer: B (5.0% of the loan portfolio)

Rationale: The RBI Digital Lending Guidelines explicitly cap First Loss Default Guarantee (FLDG) arrangements (now referred to as Default Loss Guarantees or DLG) between FinTech platforms (LSPs) and Regulated Entities at 5.0% of the total loan portfolio sourced.

Question 7: Correct Answer: C (Fully deductible from taxable income as an admissible business expense)

Rationale: Section 36(1)(iii) of the Income Tax Act, 1961 allows interest paid on capital borrowed for business purposes to be fully deducted from taxable income, thereby generating an active tax shield.

Question 8: Correct Answer: C (Retail and Wholesale Traders)

Rationale: CRIF/SIDBI Pulse reports demonstrate that Retail and Wholesale Traders represent the largest segment of commercial working capital borrowers, making up 44% of total active borrowers in the ₹10 Lakh to ₹2 Crore exposure range.

Question 9: Correct Answer: B (Day 61)

Rationale: Under the IRACP directions, SMA-0 covers overdues of 1 to 30 days; SMA-1 covers 31 to 60 days; and SMA-2 covers 61 to 90 days. Therefore, the account transitions to SMA-2 on the 61st day of consecutive overdue.

Question 10: Correct Answer: C (Absolute Assignment of Actionable Claims)

Rationale: Section 130 of the Transfer of Property Act, 1882 governs the assignment of actionable claims, which includes trade receivables and book debts, enabling the absolute legal transfer of the collection right from the borrower to the bank.

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